health. They became acquainted at Bretton Woods but Deshmukh got to know him well only in March 1946, when he led the delegation to Savannah where the Fund and the Bank were inaugurated.

India as the largest holder of wartime sterling balances, also proposed an amendment, calling for the settlement of ‘abnormal indebtedness arising out of the war’ which was supported by Egypt (the second largest holder). Shroff eloquently arguing India’s case, fully appreciated the ‘unfortunate loss of valuable foreign investments by the United Kingdom’ and its inability to meet the capital requirements of India ‘for a fairly long period’.[23] Adopting a reasonable stand, he observed that India had never intended the IMF to take over in one lump sum the entire accumulated credit balances during the war. Her demand was reasonable enough: multilateral convertibility for a reasonable portion of these accumulated balances. Shroff compared India’s position to ‘a man with a million dollar balance in the bank but not sufficient cash to pay his taxi fare.’ Both India and Egypt emphasized the toll taken by the war on their respective economies but the proposal was rejected on the ground that the problem of war balances would put an unbearable strain on the Fund’s resources.[24] As a counter, the Indian delegation submitted a revised amendment which read: ‘To facilitate the multilateral settlement of a reasonable portion of the foreign credit balances accumulated amongst the member countries during the war so as to promote the purposes referred to in subdivision 2, without placing undue strain on the resources of the Fund.’[25] This too was rejected by the British, French, and the Americans.

Keynes and Shroff

Keynes intervened on Commission I on July 10 to state that while Britain would settle the debts ‘honourably’, the settlement must be a matter between those directly concerned. This commitment known as the ‘Keynes pledge’ ruled out unilateral repudiation. In a statesmanlike address, Keynes made a case for the UK as ‘the only country here represented which has incurred large-scale war debts to her Allies and associates also here present, these alternative amendments must be assumed, as Mr Shroff had indeed made clear, to relate primarily to her’.[26] Keynes recognized that India had borne a much larger part of the war expenditure as compared to other